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MAY/JUNE 2008

FORM TP 2008117

C A R I B B E A N E X A M I N A T I O N S C O U N C I L

**SECONDARY EDUCATION CERTIFICATE
EXAMINATION**

PRINCIPLES OF BUSINESS

Paper 01 - General Proficiency

75 minutes

27 MAY 2008 (p.m.)

READ THE FOLLOWING DIRECTIONS CAREFULLY

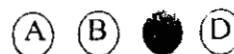
1. In addition to this test booklet, you should have an answer sheet.
2. Each item in this test has four suggested answers lettered (A), (B), (C), (D). Read each item you are about to answer and decide which choice is best.
3. On your answer sheet, find the number which corresponds to your item and blacken the space having the same letter as the answer you have chosen. Look at the sample item below.

Sample Item

The money a business receives from the sale of goods or services is called its

- (A) assets
- (B) capital
- (C) income
- (D) resources

Sample Answer



The best answer to this item is "income", so answer space (C) has been blackened.

4. If you want to change your answer, be sure to erase your old answer completely and fill in your new choice.
5. When you are told to begin, turn the page and work as quickly and as carefully as you can. If you cannot answer an item, omit it and go on to the next one. You can come back to the harder item later. Your score will be the total number of correct answers.
6. This test consists of 60 items. You will have 75 minutes to answer them.
7. Do not be concerned that the answer sheet provides for more answers than there are items in this test.

DO NOT TURN THIS PAGE UNTIL YOU ARE TOLD TO DO SO

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1. Which of the following is NOT a function of money?
 - (A) Indivisibility
 - (B) Store of value
 - (C) Measure of value
 - (D) Medium of exchange
2. In a competitive market situation, which of the following is LEAST likely to influence consumer demand?
 - (A) Taste
 - (B) Price
 - (C) Brand loyalty
 - (D) Consumers' income
3. Subsidised meals for employees would fall under which of the following categories?
 - (A) Fringe benefits
 - (B) Duty allowance
 - (C) Wages and salaries
 - (D) Workmen's compensation
4. Private enterprise is run MAINLY to
 - (A) provide jobs for more people
 - (B) distribute goods and services
 - (C) reduce inflation
 - (D) create profits for owners
5. Which of the following are functions of a business unit?
 - I. Production of goods and services
 - II. Creation of jobs
 - III. Maximization of sales
 - IV. Education of workers
 - (A) I, II and III only
 - (B) I, II and IV only
 - (C) I, III and IV only
 - (D) II, III and IV only
6. Which of the following is LEAST likely to result from growth in an organization?
 - (A) Greater productivity
 - (B) More division of labour
 - (C) Increased communication
 - (D) Increased capital investment
7. Which of the following characteristics of the sole trader form of business enterprise is NOT advantageous to the owner?
 - (A) Secrecy
 - (B) Unlimited liability
 - (C) Ownership of all profits
 - (D) Low operational cost
8. The MAIN purpose of installing a suggestion box in a company is to get workers' view about
 - (A) each other
 - (B) other companies
 - (C) ways of improving the workplace
 - (D) ways of improving economic conditions in the country
9. In a public limited company, the losses are borne by the
 - (A) staff
 - (B) directors
 - (C) community
 - (D) shareholders
10. Which of the following is MOST likely to occur when a member of a partnership dies?
 - (A) The business is closed down
 - (B) A new partner is brought in
 - (C) The government takes over the business
 - (D) The business becomes a joint stock company

GO ON TO THE NEXT PAGE

11. In a firm with a departmentalized structure, which department performs the four duties listed below?
- Receiving the goods purchased
 - Reporting on the quality of goods received
 - Applying the principles for costing goods
 - Keeping an inventory
- (A) Finance
(B) Purchasing
(C) Stock control
(D) Marketing
12. Profit may NOT be the main objective of a business which is
- (A) finding cheaper raw materials
(B) increasing the salaries of its directors
(C) increasing the price of goods and services
(D) expanding factory space to increase production
13. An entrepreneur may reduce his risk of loss by
- (A) planning ahead
(B) securing bank loans
(C) cleaning offices regularly
(D) purchasing additional fixed assets
14. Cash used to secure a loan at the bank is referred to as
- (A) collateral
(B) fixed assets
(C) current asset
(D) fixed deposit
15. The condensation of the business plan is contained in the
- (A) feasibility plan
(B) marketing plan
(C) key note summary
(D) executive summary
16. Which of the following is NOT a feature of a business plan?
- (A) Demonstrates a clear compelling vision
(B) Provides clear and realistic projections
(C) Gives information about the target market
(D) Outlines financial institution from which business may get funding
17. Which of the following describes an essential feature of a valid contract?
- (A) The offer has been communicated to the offeree.
(B) A counter offer has been made by the offeree to the offeror.
(C) The offer is made in writing by the offeror.
(D) The offer has been accepted by the offeree either in writing or orally.
18. Which of the following are functions of management?
- Co-ordinating the work of employees
 - Delegating work to subordinates
 - Controlling employees and raw materials
 - Ensuring that employees join a trade union
- (A) I and II only
(B) II and III only
(C) I, II and III only
(D) II, III and IV only

19. Which of the following factors prevents an agreement from being considered a valid contract?
- (A) Offer and acceptance
 - (B) Misrepresentation
 - (C) Legal purpose
 - (D) Consideration
20. Which of the following situations would occur if a contract for the sale of goods becomes void?
- I. The prospective buyer becomes the owner.
 - II. The seller has the right to keep any money or goods which have been given to him in this transaction.
 - III. The prospective buyer does not become the owner.
 - IV. The seller must return any money or goods given to him by the prospective buyer for the transaction.
- (A) I and IV only
 - (B) II and III only
 - (C) III and IV only
 - (D) I, II and IV only
21. The money used for the day-to-day operations of a business is called
- (A) fixed capital
 - (B) nominal capital
 - (C) floating capital
 - (D) working capital
22. The factor of production which earns interest is
- (A) land
 - (B) labour
 - (C) capital
 - (D) enterprise
23. Which of the following is a fixed asset?
- (A) Bicycle for private use
 - (B) Motor car for family use
 - (C) Washing machine for resale
 - (D) Motor lorry for delivery of goods
24. The term 'human resources' refers to
- (A) materials and goods made by human beings
 - (B) raw materials used in the manufacture of goods
 - (C) persons available for productive and professional services
 - (D) capital invested by shareholders in a company
25. The movement of educated, skilled people to settle in other industrialised countries is called
- (A) migration
 - (B) brain drain
 - (C) unemployment
 - (D) underemployment
26. Which of the following is the BEST example of capital as a factor of production?
- (A) Money
 - (B) Shares
 - (C) Machinery
 - (D) Debentures
27. To which of the following industries does a firm involved in food processing belong?
- (A) Service
 - (B) Extractive
 - (C) Constructive
 - (D) Manufacturing

28. Which of the following can be described as a marketing activity?
- (A) Issuing bulletins on staff matters
 - (B) Distributing commodities to outlets
 - (C) Publicising advertisements for new staff
 - (D) Ensuring that workers are given fringe benefits
29. All persons can be called consumers because they
- (A) use goods
 - (B) buy goods
 - (C) have wants
 - (D) satisfy themselves
30. Which of the following BEST describes the term 'loss leaders'?
- (A) An item which the retailer gives away to customers
 - (B) A product which is sold cheaply to attract customers
 - (C) A good which has no real market value
 - (D) A product which the retailer is unable to locate
31. Which of the following activities carried out in a firm will NOT be under the supervision of the marketing manager?
- (A) Packaging
 - (B) Advertising
 - (C) Distributing
 - (D) Purchasing
32. Which of the following is LEAST likely to be described as good public relations for a company?
- (A) The offering of scholarships
 - (B) Sponsorship of a steel band
 - (C) Reduction in price to retailers
 - (D) Hosting of an annual sport event
33. Which of the following is NOT a function of the retailer?
- (A) Transporting goods to suitable storage facilities
 - (B) Providing a local supply of goods
 - (C) Preparing goods for resale
 - (D) Selling in small quantities
34. The variables of a marketing mix can easily be remembered by referring to the four P's which are
- (A) product, price, place, promotion
 - (B) product, publicity, purchase, price
 - (C) product, promotion, package, price
 - (D) product, package, place, promotion
35. A court order requiring an employer to deduct money from an employee for payment of his debts is known as
- (A) demand
 - (B) revenue
 - (C) withdrawal
 - (D) garnishment
36. A post-dated cheque is one which
- (A) was written no longer than six months ago
 - (B) is dated to agree with the date of the document requesting payment
 - (C) is dated by the bank on the day it is presented for payment
 - (D) is dated for payment at a future date
37. One of the MAJOR functions of a central bank is to
- (A) issue notes and coins
 - (B) issue stocks and shares
 - (C) accept deposit accounts
 - (D) make loans and advances

38. The monthly payments collected by an insurance company on behalf of its policy holders are known as
- (A) deposits
 - (B) premiums
 - (C) instalments
 - (D) endowments
39. Which of the following CANNOT be used as collateral for obtaining a loan from a financial institution?
- (A) A mortgaged home with insurance coverage
 - (B) An insurance policy with a cash value
 - (C) Money in a fixed deposit account
 - (D) Property not covered by insurance
40. The MOST important use of collateral security to the lender is that it
- (A) can be sold if the borrower fails to pay
 - (B) gives the banker an idea of the state of the business
 - (C) establishes the financial position of the borrower
 - (D) improves the borrower's chance of getting a loan
41. A country will restrict importation of certain items in order to
- I. assist local industries.
 - II. prevent similar items from being consumed by its citizens.
 - III. encourage use of local resources.
 - IV. alter the life style of its citizens.
- (A) I only
 - (B) I and III only
 - (C) II and III only
 - (D) II and IV only
42. Governments can influence business activity positively by
- (A) reducing taxes
 - (B) reducing grants
 - (C) reducing spending
 - (D) budgeting for a surplus
43. Which of the following measures are used by government to redistribute income?
- (A) Customs duties and levies
 - (B) Consumption tax and tariffs
 - (C) PAYE and National Insurance
 - (D) Excise duties and Value added tax
44. Tax paid on wages and salaries is referred to as
- (A) excise duty
 - (B) income tax
 - (C) customs duty
 - (D) corporation tax
45. Which of the following forms of taxation could be classified as 'direct'?
- (A) Excise duty
 - (B) Income tax
 - (C) Customs duty
 - (D) Purchase tax
46. Which of the following is included in protection of the environment?
- (A) Food legislation
 - (B) Social insurance
 - (C) Competition policy
 - (D) Deforestation laws

47. Which of the following can be considered as incentives to industries?
- (A) Increasing corporation tax
 - (B) Increase in insurance premiums
 - (C) The training of employees
 - (D) The devaluation of the local currency
48. A country has a favourable balance of trade when
- (A) it sells more than it buys
 - (B) it buys more than it sells
 - (C) imported goods are cheaper
 - (D) there are no restrictions to trade
49. Which of the following practices would NOT contribute to the economic development and growth of a community?
- (A) Increased use of the country's natural resources
 - (B) Increased importation of consumer goods
 - (C) Provision of loans and technical assistance for establishing local businesses
 - (D) Provision of more infrastructure within the country
50. To correct an adverse balance of payments position, a government may
- (A) reduce credit
 - (B) increase exports
 - (C) reduce income tax
 - (D) increase the money supply
51. Which of the following are likely to affect the standard of living in a country?
- I. Widespread pollution
 - II. A low literacy rate
 - III. A high crime rate
 - IV. Advertisements
- (A) I and III only
 - (B) II and III only
 - (C) I, II and III only
 - (D) I, III and IV only
52. In National Income Accounting, students' grants and retirement pensions are examples of
- (A) national income
 - (B) transfer income
 - (C) personal income
 - (D) disposable income
53. Which of the following indices is the BEST measure of the economic growth of a country?
- (A) Economic stability
 - (B) High standard of living
 - (C) Changes in the gross national product
 - (D) Changes in the gross domestic product
54. The balance of payments account comprises
- I. current account
 - II. total currency flow
 - III. gross national income
 - IV. official financing
- (A) I and III only
 - (B) II and III only
 - (C) I, II and III only
 - (D) I, II and IV only

55. Which of the following are MAJOR economic problems facing Caribbean countries?
- I. High levels of unemployment
 - II. Adverse balance of payments
 - III. Low productivity in manufacturing
 - IV. Lack of capital for investment
- (A) I and II only
 - (B) II and III only
 - (C) I, II and IV only
 - (D) I, II, III, and IV
56. Which of the following methods may government use to reduce unemployment in the long run?
- (A) Employment levy on firms
 - (B) Increases in income tax
 - (C) Deflation of the economy
 - (D) Increased interest rates on borrowers
57. The following policies are barriers to international trade EXCEPT
- (A) quotas
 - (B) subsidies
 - (C) embargoes
 - (D) custom duties
58. The PRIMARY function of the Caribbean Basin Initiative is to give concessions on
- (A) traditional products entering the Canadian market
 - (B) traditional products entering the US market
 - (C) non-traditional products entering the US market
 - (D) non-traditional products entering the Canadian market
59. Investment can be defined as
- (A) the stock of goods in a country
 - (B) additions to the capital stock of a country
 - (C) the amount of money available at a given time
 - (D) the amount of capital owned by the government
60. Which of the following can be classified as benefits of nationalisation?
- I. Profits will remain in the country.
 - II. Essential industries will be state owned.
 - III. Employment will be provided for citizens.
 - IV. The enterprise will have joint ownership.
- (A) I, II and III only
 - (B) I, II and IV only
 - (C) I, III and IV only
 - (D) II, III and IV only

IF YOU FINISH BEFORE TIME IS CALLED, CHECK YOUR WORK ON THIS TEST.